

fee on the capital remaining.) Since each shareholder that redeemed *increased the burden on those that remained*, the SPAC structure spawned a potential race for the exits.

For the sponsor, having no exit option, the paramount goal was to minimize redemptions and retain as much cash as possible in the business. Some SPAC sponsors cut preferential, secretive deals with large shareholders in which the shareholders agreed *not* to redeem.¹¹ Sponsors also raised private capital—again on preferential terms—to replace the capital that was redeemed.

Sponsors went to great lengths to develop a public market for the shares so that exiting shareholders could sell rather than redeem. Practically, this meant persuading the public that the merged entity would trade above \$10. This presented an almost insoluble problem: as a matter of math, SPAC shares, premerger, were clearly worth less than \$10. After all, its only tangible assets consisted of the \$10 per share raised in the IPO *less its considerable costs*. How could a merger elevate its value?

One solution would be to purchase a target company at a bargain price, so that the per-share value of the merged enterprise would be higher. But bargains do not grow on trees. The target shareholders, naturally, want to receive fair value for their business. In fact, target companies are in a position to demand *more* than fair value, because they know that sponsors need to do a deal. Another possibility was that merely taking the target company public would enhance its value—possible in theory, though not very likely in practice. Or perhaps, the expertise and talent of the sponsor executives (who commonly go on the company's board) is such that the target business will, under their tutelage, improve.

Investors, being impressionable, often simply assumed that sponsors were intelligent and working in the investors' interests.

¹¹ Klausner, et al., op. cit., pp. 12–13.